



University of St.Gallen

Institute of Accounting, Control
and Auditing

Principles of Financial Management

Lecture 2: Statement of Financial Positions

Business Administration B
Spring Semester 2026

From the News

OCTOBER 28, 2024 1:02 PM CET

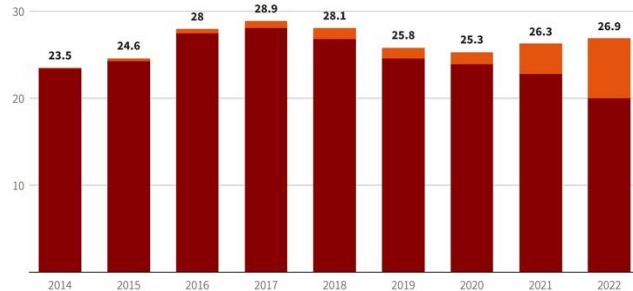
BY NETTE NÖSTLINGER

BERLIN — German car manufacturer Volkswagen is for the first time in its 87-year history planning to close production sites in its home market, the company's works council said Monday.

<https://www.politico.eu/article/volkswagen-eyes-closure-three-german-plants-says-works-council/>

China's total car sales peaked in 2017, despite an EV boom

● Internal combustion engine sales ● New energy vehicle sales



Source: China Association of Automobile Manufacturers, Automobility analysis | K. Hamlin | Breakingviews | Aug. 10, 2023

Volkswagen to cut 50,000 jobs in Germany by 2030 as profits fall

The German carmaker reported that FY25 earnings after tax fell 44.3% year-on-year to €6.90bn (\$8.04bn), a result that multiple reports described as its weakest performance in nearly a decade.

<https://finance.yahoo.com/news/volkswagen-cut-50-000-jobs-123055122.html?guccounter=1>

From the News

Google

former german consumer electronic companies

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Before the 1970s, the consumer electronics industry of West Germany was technologically very innovative. German companies such as **Grundig, Telefunken, SABA and Metz**, were regarded as pioneers and well known both within and outside of the German-speaking countries.



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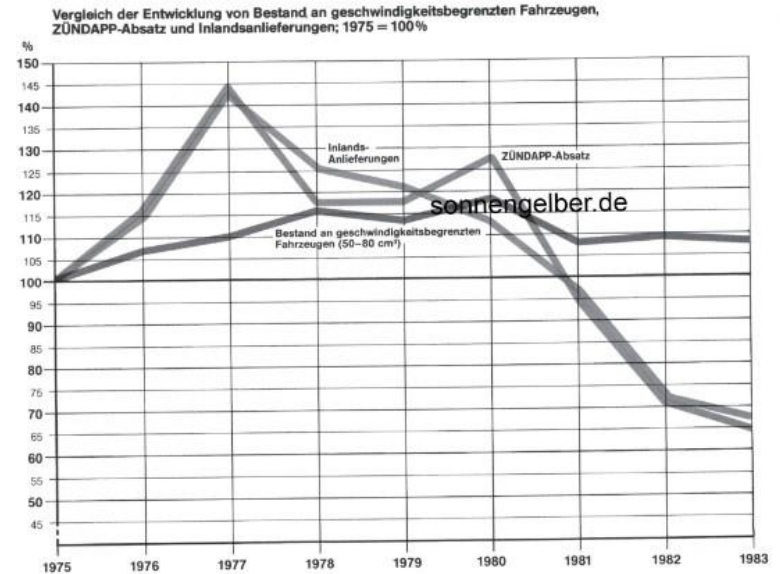


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From the News: motorcycles in 1980

Zündapp-Werke GmbH



From the News

MOTORVERGE AUDI - CARS LINEUP (INDIA)

AUDI Q3	₹ 43.07 - 53.55 LAKH	
AUDI Q5	₹ 64.34 - 69.86 LAKH	
AUDI Q7	₹ 86.34 - 95.03 LAKH	
AUDI Q8	₹ 1.1 CRORE	
AUDI RS Q8	₹ 2.32 CRORE	
AUDI A4	₹ 46.25 - 55.11 LAKH	
AUDI S5 SPORTBACK	₹ 73.57 - 80.50 LAKH	
AUDI A6	₹ 63.74 - 69.89 LAKH	



The \$125,000 Audi RS5 Has Pay-To-Play Infotainment Screens

Chase Bierenkoven

Tue, February 24, 2026 at 7:20 PM GMT+1

Add Yahoo Autos on Google



Google

best selling car in china

AI Overview

In early 2026, the **Geely Xingyuan (or Geely EX2)** is the best-selling passenger car in China. As of February 2026, it leads a market where electric vehicles dominate, followed by the Wuling Hongguang Mini EV and BYD models, reflecting a continued, rapid shift toward affordable, compact electric vehicles. [Reddit +4](#)



AI Mode All Shopping Images News More

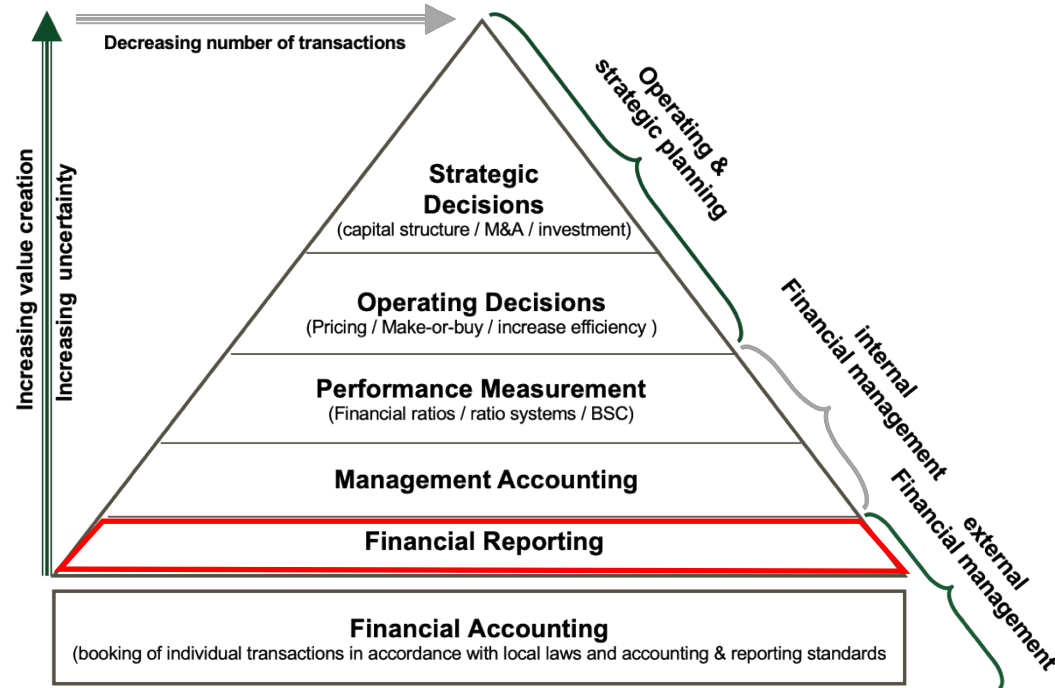
While official Australian pricing for the Geely EX2 has not been finalized, it is expected to be roughly half the cost of an entry-level Audi A3. [@](#)

- Geely EX2 (Expected):** Targeted to start under **\$30,000**, with some estimates suggesting it could even approach **\$25,000** to compete for the title of Australia's cheapest EV.
- Audi A3 (Current):** Starts at **\$54,800** for the Audi A3 Sportback 35 TFSI (1.5L FWD) and goes up to **\$65,800** for the Audi A3 Sedan 40 TFSI quattro (2.0L AWD). [Zecar +3](#)

The course is part of Business Administration B and consists of lectures, required reading, and exercises.

Calendar Week	Semester Week	Date	Lecture						Exercise Groups (Fridays)			
			#	Topic/Title of Lecture	Required Readings (to be prepared before lecture and exercises)	Lecture Times						
						German Track Group 1	German Track Group 2	English Track				
8	1	16.2.-20.2.	Business Ethics (Prof. Dr. Michael Festl)	1	Lecture 1: Basics: Virtue Ethics, Deontology, Utilitarianism		Tue 8.15-10 a.m.	Mon, 12.15-2 p.m.	Mon, 2.15-4 p.m.	Coaching for Academic Term Paper		
9	2	23.2.-27.2.		2	Lecture 2: Sustainability	Text 1: Club of Rome (1972): Limits to Growth, Introduction Text 2: Williams (2015): Green Giants , pp. 1-14; 95-123; 245-254						Exercise 1: Case Study South Pole
10	3	2.3.-6.3.		3	Lecture 3: Responsibility	Text 1: Friedman (1962): Capitalism and Freedom , pp. 133-136 Text 2: Stout (2012): The Shareholder Value Myth, Preface, Introduction, Chapter 4 & 8						Exercise 2: Case Study Responsible Business Initiative
11	4	9.3.-13.3.	Financial Management (Dr. Simon Pfister)	4	Lecture 1: Introduction	Script Schäfer, Principles of Financial Management, Chapter 1 & 2						
12	5	16.3.-20.3.		5	Lecture 2: Statement of financial position	Script Schäfer, Principles of Financial Management, Chapter 3 & 4				Exercise 1: Introduction & statement of financial position		
13	6	23.3.-27.3.		6	Lecture 3: Statement of profit or loss and statement of cash flows	Script Schäfer, Principles of Financial Management, Chapter 5 (excluding 5.5) & 6				Exercise 2: Statement of profit or loss		
14&15	7&8	30.3.-10.4.	Semester Break (2 weeks)									
16	9	13.4.-17.4.	Financial Management (Dr. Simon Pfister)	7	Lecture 4: Management accounting	Script Schäfer, Principles of Financial Management, Chapter 10	Tue 8.15-10 a.m.	Mon, 12.15-2 p.m.	Mon, 2.15-4 p.m.			
17	10	20.4.-24.4.		8	Lecture 5: Performance Measurement	Script Schäfer, Principles of Financial Management, Chapter 11						Exercise 3: Management accounting
18	11	27.4.-1.5.		9	Lecture 6: Financing	Script Schäfer, Principles of Financial Management, Chapter 12						Exercise 4: Performance measurement
19	12	4.5.-8.5.								St. Gallen Symposium & Dies academicus		
20	13	11.5.-15.5.		10	Lecture 7: Mergers & Acquisitions (M&A) + Guest Lecture	Script Schäfer, Principles of Financial Management, Chapter 14	Mon, 12.15-2 p.m.		Mon, 2.15-4 p.m. + Wed, 8.15-10 a.m.	Exercise 5: Fincancing and statement of cash flows		
21	14	18.5.-22.5.				Tue 8.15-10 a.m.	Mon, 12.15-2 p.m.		Exercise 6: M&A and wrap up			
End of lecture period												
22		26.5.		Financial Management Optional Repetition		Mon, 12.15-2 p.m.		Mon, 2.15-4 p.m.				

Financial Management can be understood as providing layered information, at different times for different purposes.



Financial reporting uses external quality references and therewith is rather general.

The second lecture looks at the frame of financial statements and the statement of financial positions including selected positions.

Learning objectives: students shall ...

- Understand further basics of Financial Reporting
- be able to read and analyse a statement of financial position
- define the initial and subsequent valuation of assets and liabilities

Preparation

- Self study of Reader chapters 3 and 4 (without 4.6.2)

The second lecture looks at the frame of financial statements and the statement of financial positions including selected positions.

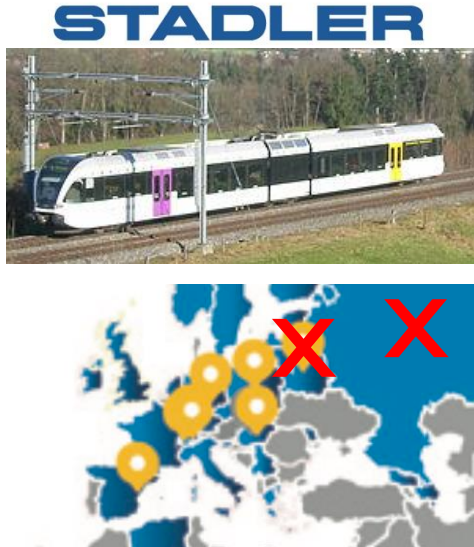
1. Principles of Financial Reporting and structure of the Statement of Financial Positions
2. First and subsequent valuation
3. Selected financial positions

Financial Reporting defines two fundamental assumptions which are generally applicable and self-evidently presumed.

Accrual-Principle	Going Concern-Principle
• Allocation of expenses regarding time and therewith ensure that expenses match revenues, i.e. all expenses that are necessary for generation of the respective revenue are disclosed in the same period as the revenue.	• Continuation of the reporting company into the far future. • Assets, liabilities and equity are disclosed at going concern values.

Fundamental assumptions are also called base assumptions. Non-compliance with these fundamental assumptions must be disclosed! In a crisis or during bankruptcy proceeding, the going concern-principle may be abandoned.

Examples of non-going concern are seldom, but if going concern is questioned, the consequences are drastic (at least locally),



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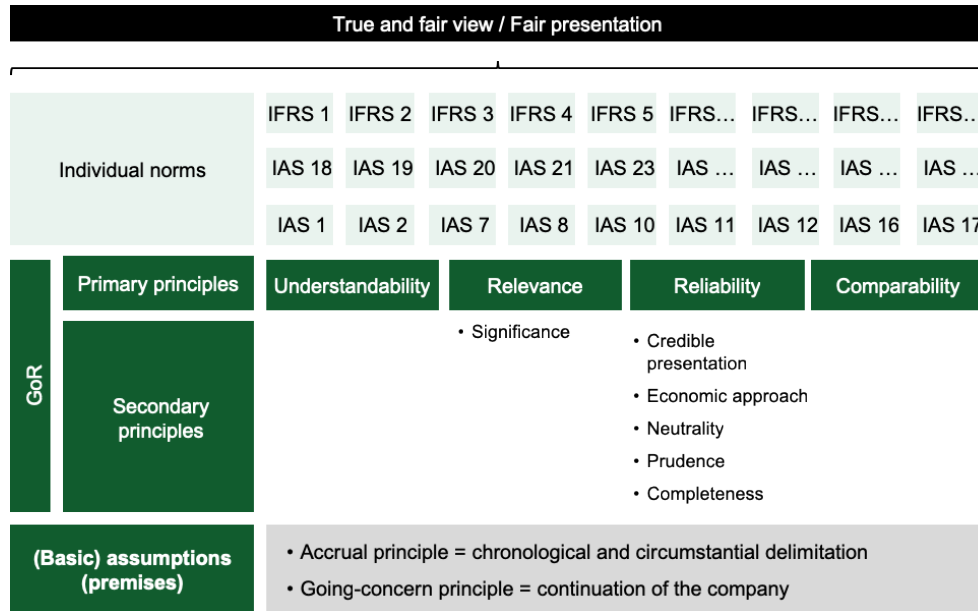
Brusa HyPower streicht 55 Stellen

Brusa HyPower baut an den Standorten Buchs und Sennwald 55 von insgesamt 190 Stellen ab. Der Autozulieferer hatte im Oktober 2025 angekündigt, bis zu 70 Arbeitsplätze abbauen zu müssen. Nach Abschluss des Konsultationsverfahrens steht nun fest, dass «nur» 55 Stellen wegfallen.

Brusa HyPower schreibt derzeit aufgrund der angespannten Lage im Markt für Elektrofahrzeuge und internationaler Handelsverwerfungen rote Zahlen. Für das Jahr 2026 strebt das Unternehmen eine schwarze Null an und will dafür neue Märkte erschliessen.

At non-going concern, assets and liabilities must be valued at liquidation values (i.e. being given up and sold).

Financial Reporting standards consist of a hierarchy of base assumptions, primary/secondary principals, and individual norms.

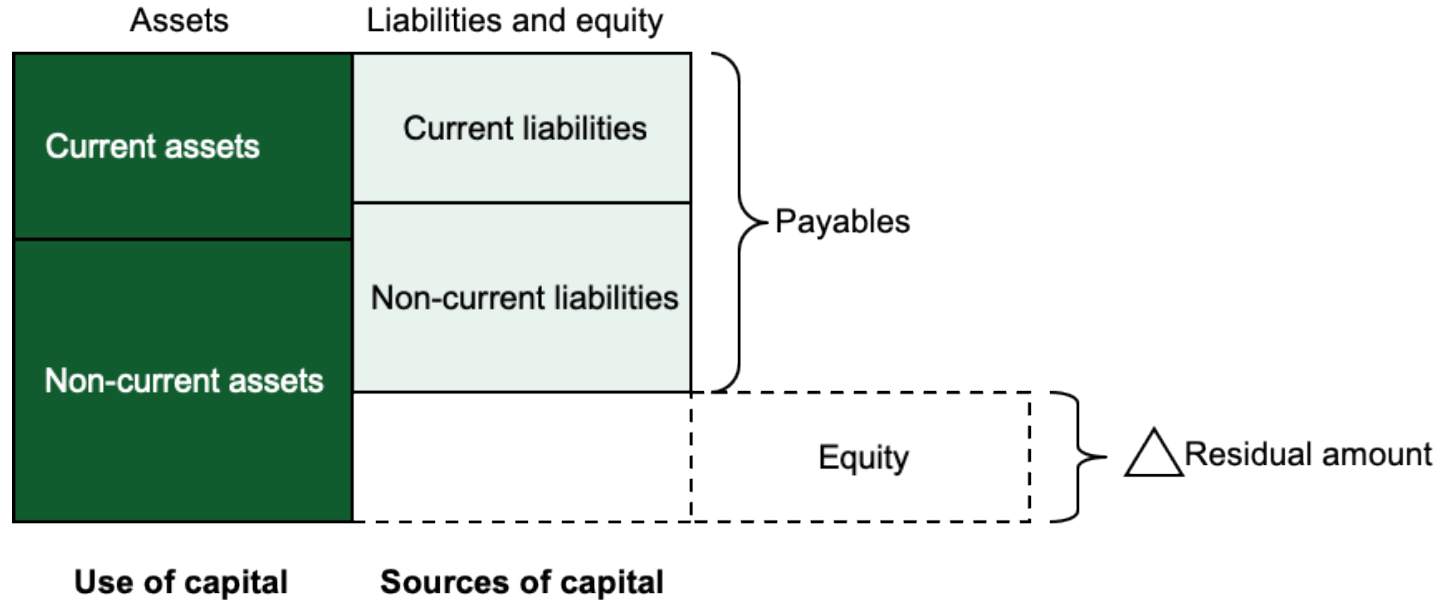


Example: IFRS 15, revenue

IFRS 15 requires an entity to disclose information that allows users to understand the nature, amount, timing and uncertainty of cash flows arising from revenue. This might require, for example, information about how an entity has applied its policies, taking into account the uncertainty that arises from the Russian invasion of Ukraine, the significant judgements applied ... (Accounting implications of the Russian invasion of Ukraine, PwC Apr 2022)

The most important financial reporting standards are US GAAP (for US), IFRS (for Asia-Pacific and Europa) and Swiss GAAP FER (for Switzerland). Despite significant differences in details, all are modern reporting standard.

The statement of financial position shows as per a point in time the potential as well as the obligations that an organization has.



The equity is simple the residual value of assets and liabilities.

Nestlé group is one of the worlds largest food and nutrition companies – with many innovations and failures over 150+ years.



In 1867 in Vevey, Henri Nestlé developed a ground-breaking infant nutrition formula. In 1905 the company he founded merged with Anglo-Swiss to form what is now known today as the Nestlé Group.



During this time, cities grow on the one hand, and railroads and steamships on the other hand lower product costs, which drives international trade in consumer goods.



Today, Nestlé is the world's largest food company and the largest industrial company in Switzerland. Nestlé employs 275 000 people worldwide.



Sales in 2024 are CHF 91.4 billion with a profit of CHF 11.2 billion.



Nestlé is listed on the Swiss stock exchange in the SMI, the market capitalization is around CHF 210 billion.

Nestlé has significant non-current assets for its production, but also current assets for its international trading business.

Consolidated Financial Statements of the Nestlé Group 2024



BostonDynamics



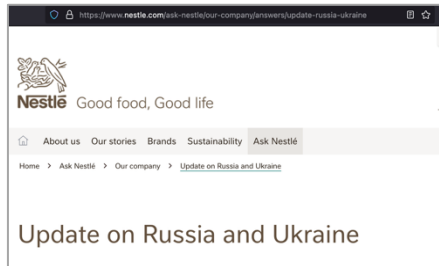
Alphabet

HYUNDAI
MOTOR GROUP

In millions of CHF			
	Notes	2024	2023
Assets			
Current assets			
Cash and cash equivalents	12/16	5 556	4 816
Short-term investments	12	2 315	1 035
Inventories	6	13 260	11 896
Trade and other receivables	7/12	11 251	10 995
Prepayments		543	521
Derivative assets	12	792	278
Current income tax assets		1 334	1 284
Assets held for sale		137	32
Total current assets		35 188	30 857
Non-current assets			
Property, plant and equipment	8	33 706	30 467
Goodwill	9	22.0% 30 595	28 693
Intangible assets	9	19 245	18 225
Investments in associates and joint ventures	14	14 326	13 088
Financial assets	12	3 650	2 947
Derivative assets	12	84	130
Employee benefits assets and reimbursement rights	10	1 475	962
Deferred tax assets	13	995	1 181
Total non-current assets		104 076	95 693
Total assets		100.0% 139 264	126 550

Nestlé has a solid level of equity (for a public company), however shrinking, and is therewith solid against any potential risk.

Consolidated Financial Statements of the Nestlé Group 2024



Since the o
implement
essential fo

- We have suspended production of the large majority of SKUs of renowned Nestlé brands to focus on providing essential foods, such as infant food and medical nutrition;
- We have halted non-essential imports and exports into and out of Russia;
- We have stopped all advertising;
- We have suspended capital investment in the country;
- We continue to fulfil our obligations toward our employees;
- We fully comply with all applicable international sanctions on Russia; and
- Any profit made this year will be donated to humanitarian causes.

In millions of CHF			
	Notes	2024	2023
Liabilities and equity			
Current liabilities			
Financial debt	12	11 863	9 416
Derivative liabilities	12	408	317
Trade and other payables	7/12	21 807	19 204
Accruals		5 466	5 112
Provisions	11	865	675
Current income tax liabilities		2 435	2 360
Liabilities directly associated with assets held for sale		19	—
Total current liabilities		42 863	37 084
Non-current liabilities			
Financial debt	12	51 697	45 825
Derivative liabilities	12	307	239
Employee benefits liabilities	10	2 629	2 718
Provisions	11	1 086	1 303
Deferred tax liabilities	13	3 767	2 886
Other payables	12	222	108
Total non-current liabilities		59 708	53 079
Total liabilities		102 571	90 163
Equity	17		
Share capital		262	267
Treasury shares		(4 283)	(5 155)
Translation reserve		(26 788)	(27 581)
Other reserves		363	(50)
Retained earnings		66 363	68 261
Total equity attributable to shareholders of the parent		35 917	35 742
Non-controlling interests		776	645
Total equity		36 693	36 387
Total liabilities and equity		139 264	126 550

26.4%

100.0%

The second lecture looks at the frame of financial statements and the statement of financial positions including selected positions.

1. Principles of Financial Reporting and structure of the Statement of Financial Positions
2. First and subsequent valuation
3. Selected financial positions

Which managerial facts must be disclosed in the statement of financial positions: when and at what amount?

If and at what **point in time** must a fact be disclosed as asset, liability or equity?



At what **initial value** must the fact be disclosed, and what is the value in **subsequent** years?

Which managerial facts must be disclosed in the statement of financial positions: when and at what amount?

If and at what **point in time** must a fact be disclosed as asset, liability or equity?

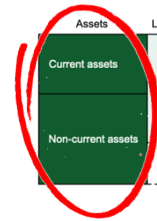


At what **initial value** must the fact be disclosed, and what is the value in **subsequent** years?

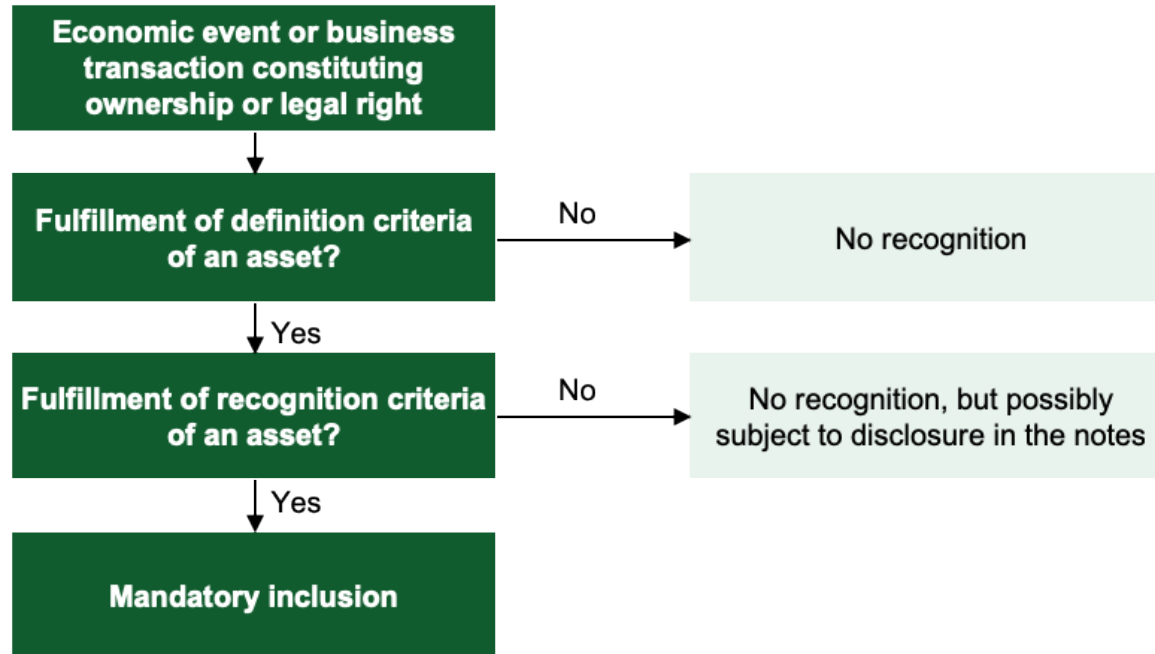
Definitions for asset:

- IFRS: “An asset is a resource controlled by the enterprise as a result of past events and from which future economic benefits are expected to flow to the enterprise” (IFRS conceptual framework)
- US-GAAP: “An asset is a present right of an entity to an economic benefit” (FASB conceptual framework, 4)

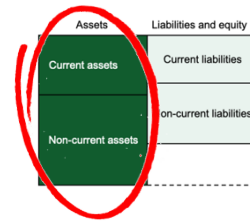
For assets, a clear decision tree for disclosure in the statement of financial position exists.



Assets	Liabilities and equity
Current assets	Current liabilities
	Non-current liabilities
Non-current assets	



To answer the decision tree for assets, 3 definition criteria and 2 recognition criteria apply.



Definition criteria

1. Resource at the disposal of the company (**control** over this resource)
2. The result of past business transaction (**past** event)
3. An asset possesses the potential of future inflow of economic benefits (**future inflow** of economic benefits)

Recognition criteria

1. It is probable that future economic benefits associated with the asset will flow to the company (**probability** of economic benefit)
2. Its cost or its value can be determined in a reliable manner (**valuation**).

If all 3 definition criteria are met, an asset exists, but only if the 2 recognition criteria are also met, the asset must be disclosed in the statement of financial positions (IFRS, implicitly also US-GAAP).

Example for disclosure of assets: transfer of football player with transfer fee, hand money and fixed salary.

Situation:

The local football club «FC St. Gallen» signs a contract with *Ramon Goal* who currently plays for FC Barcelona. The contract includes a transfer fee of CHF 10 million to FC Barcelona, an immediate CHF 1 million hand money to *Ramon Goal*, and a total salary payment to *Ramon Goal* of CHF 6 million over the contract period of 3 years.



Question:

In this situation, how is the contract disclosed in the statement of financial positions? What is an asset?

- a) Transfer fee, hand money and fixed salary are assets, no expenses apply
- b) Transfer fee, hand money and fixed salary are assets, and additional expenses apply
- c) Transfer fee and hand money are assets, the fixed salary is disclosed as an expense
- d) Transfer fee is an asset, the hand money and fixed salary are disclosed as expenses
- e) Transfer fee, hand money and fixed salary are disclosed as expenses,

A single fact (e.g. contract, right, item) can lead to multiple disclosures as various assets and/or expenses.

The transfer of Ramon Goal results in different transactions. Only the transfer fee shows characteristics of asset disclosure.



Definition criteria

1. Resource at the disposal of the company (**control** over this resource)
 - Transferring Ramon Goal onward is always possible
2. The result of past business transaction (**past** event)
 - Legally binding agreement was entered into
 - Normal transfer (i.e. according to UEFA best practices)
3. An asset possesses the potential of future inflow of economic benefits (**future inflow** of economic benefits)
 - Expected revenues from TV agreements, prize money, visitors; success in games
 - Onward transfer is possible
 - Superstar will attract further sponsors
 - Part of the operational business

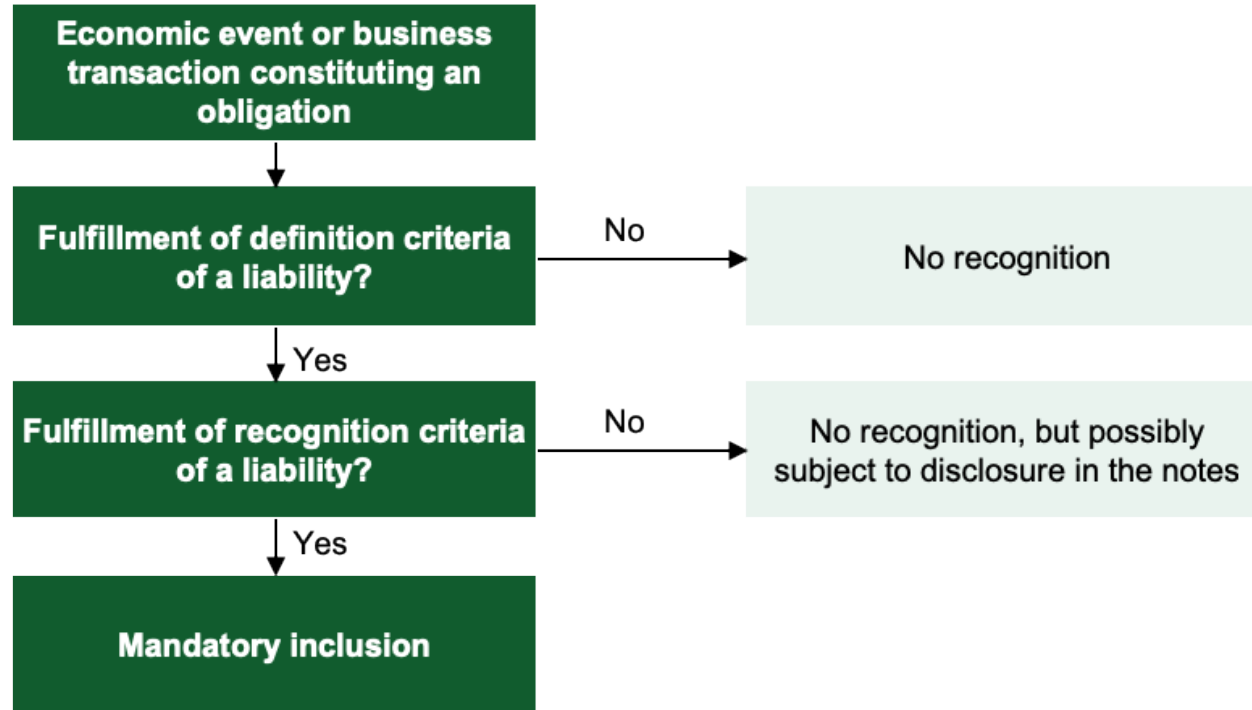
Recognition criteria

1. It is probable that future economic benefits associated with the asset will flow to the company (**probability** of economic benefit)
 - Cash inflow from onward transfer (risk of injuries can be insured), strengthening/motivation of overall team
 - Age of the player (young players are more likely to be transferred onward later)
2. Its cost or its value can be determined in a reliable manner (**valuation**)
 - Effective payment of CHF 10 million
 - Possible deflation?

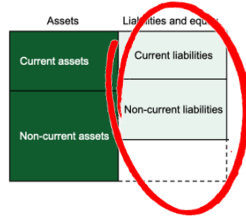
Additional information (such as age of Ramon Goal, existing TV and other sponsoring agreements, or injury insurances), as well as judgement, is required to select either answer option e or d

For liabilities, a clear decision tree for disclosure in the statement of financial position exists.

Assets	Liabilities and equity
Current assets	Current liabilities
Non-current assets	Non-current liabilities



To answer the decision tree for liabilities, 3 definition criteria recognition criteria apply.



Assets	Liabilities and equity
Current assets	Current liabilities
Non-current assets	Non-current liabilities

Definition criteria

1. Current **obligation** of the company
2. The result of **past** business transaction
3. Settlement of the obligation is expected to lead to a **future outflow** of resources that constitute **economic benefits** for the company

Recognition criteria

1. The future outflow of resources with economic benefits is **probable**
2. The value of the probable future outflow of resources with economic benefits can be **determined** in a reliable manner

The criteria are very similar to definition and recognition of assets, however in praxis obligation, probability and value are more controversial than for assets (see also provisions and contingent liabilities, to be discussed later).

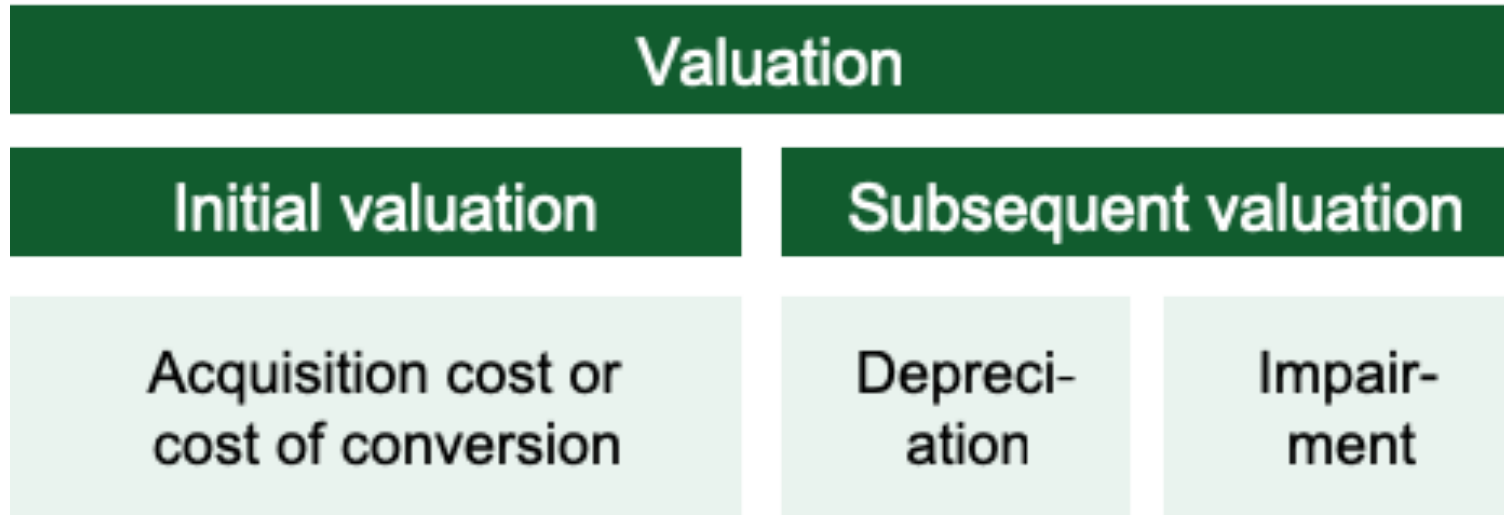
Which managerial facts must be disclosed in the statement of financial positions: when and at what amount?

If and at what **point in time** must a fact be disclosed as asset, liability or equity?



At what **initial value** must the fact be disclosed, and what is the value in **subsequent** years?

For valuation, specific rules exist regarding initial and subsequent valuation, as well as for different types of assets and liabilities.



This scheme from the book describes the so called «historic cost approach» of valuation. For selected assets (and liabilities), the «fair value approach» may apply which results in differences for the subsequent valuation.

For valuation two fundamental approaches exist, «historic cost» and «fair value». Use of «fair value» is limited, but significant.

Initial valuation

- Always at ‘current cost’, calculated either as ‘acquisition cost’ (if the asset/liability is purchased) or ‘cost of conversion’ (if the asset/liability is self-propelled/-produced)
- Mathematically, ‘current cost’ calculation is equal to the calculation under the «fair value» approach

Subsequent valuation

- For most assets and liabilities (under going concern assumption) the «historic cost» approach applies. The subsequent valuation is calculated as historic current cost minus planned depreciation (if applicable) minus *one-time* impairments (if applicable).
- For selected assets and liabilities (namely short-term marketable securities, income property, and alike) the «fair value» approach applies, i.e. valuation at current market prices, re-production costs, or alike (i.e. mathematically this is equal to ‘current cost’).

Effectively, «fair value» valuation approach only leads to differences in the subsequent valuation. Still, «fair value» defines how we see assets (and liabilities): rather influenced by the company’s use, or rather by the market.

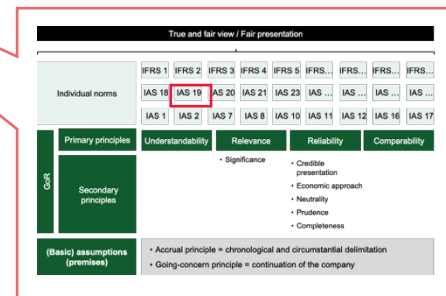
For the calculation of the initial valuation's 'current cost', modern financial reporting defines ridged rules and calculation schemes.

Acquisition costs
Purchase price (net acquisition price)
+ Incidental acquisition costs (directly attributable costs)
Import duties
Transportation costs incl. transportation insurance
Packaging
Taxes, inasmuch as they are non-refundable
Handling costs
Others
- Acquisition price reductions
Discounts
Other types of rebates and refunds
+ Financial expenses (IAS 23)*

Cost of conversion

- Direct material and production costs
- + Production-related overhead costs
 - Fixed and variable
 - Determination based on normal capacity utilization
 - Production-related administrative expenses
- + Other costs necessary to convey the products to their present location and present condition
- + Financial expenses (IAS 23)*

- **Not included: (prohibited)**
- Idle capacity costs
- Inventory costs, inasmuch as they are not required as part of the production process
- Administrative overhead costs (not related to production)
- Distribution costs



Also for the subsequent valuation, modern financial reporting standards define clear frameworks, with some application leeway.

Depreciation (does not apply for certain assets, e.g. land, goodwill, and alike)

- Lower profit by accommodating (systematic) use of assets, i.e. lowering profit and lowering value of assets
- Depreciation leads to disclosing the ‘real’ value for future use, i.e. the future economic benefit
- Systematic, over multiple periods
- Multiple methods for calculating the depreciation amount (as well as useful life of the asset) exist

Impairment (for some assets like goodwill a respective test must apply annual, for all assets upon market conditions)

- Lowering value of assets as per a certain point in time (because of changing market conditions, incl. crisis)
- In some cases value increases are possible (up to the historic current cost)

Fair Value (only applicable for selected positions, e.g. short-term marketable securities, income property, and alike)

- Valuation at current market prices (or alike), i.e. mathematically subsequent and initial valuations are identical
- Increase in profit (over and above the initial value) is possible

While all modern financial reporting standards follow these general frameworks, differences do apply. E.g. Swiss GAAP FER asks for depreciation of goodwill, or applicable valuations if no market price exists for fair values.

The second lecture looks at the frame of financial statements and the statement of financial positions including selected positions.

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For calculation of inventory values, companies may choose from different methods. FIFO and average cost are the dominant ones.

FIFO method

FIFO = First-in-first out

The goods that are produced/purchased first are sold first.

The closing balance consists of the latest produces/purchased goods only. The respective costs are used for the valuation of the inventory.

If purchase prices increase, FIFO leads to relatively higher inventory value and therewith more profit (because purchase expenses are relatively lower).

Average cost method

For valuation of the inventory, the average production/purchase costs are used

Calculation of average inventory value:

$$\frac{\text{Value of opening balance} + \text{value of all purchases}}{\text{Number of purchased items}}$$

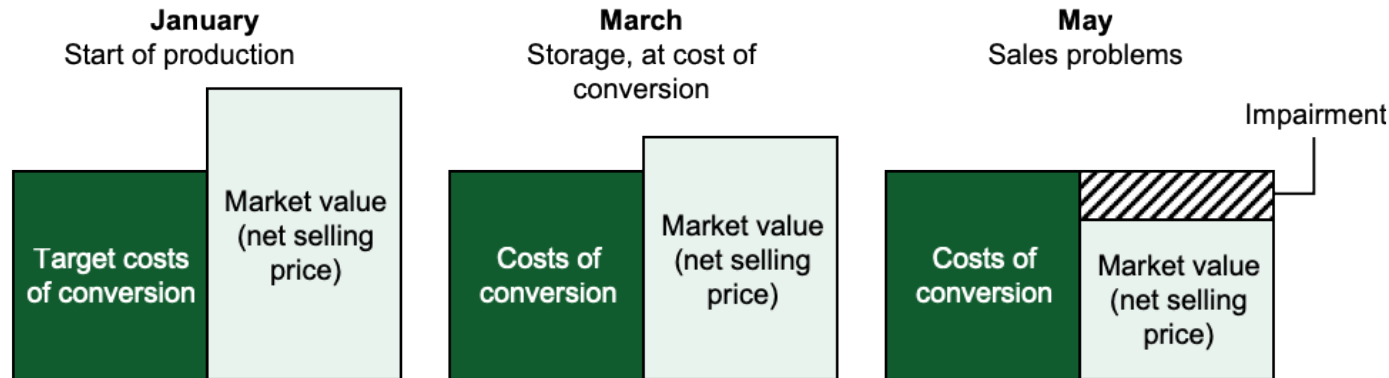
Weighted average cost method: uses the average cost over the reporting period (quarter, month, year)

Floating average cost method: a new average is calculated upon each delivery of new products

For subsequent valuation of inventory, the lower of cost or market concept applies (in addition to FIFO or average cost method)

If the market price of the items in stock comes under pressure, and the market price falls below the inventory valuation, an inventory adjustment must apply (called impairment).

This concept is called: lower of cost or market



Disclosure of intangible assets builds on the ideas and criteria of disclosure of assets, but extends them.

Definition criteria intangible assets:

General criteria for assets	Additional criteria for intangible assets
• control • past event • future economic benefit	• identifiable • non-monetary • without physical substance

Recognition criteria for intangible assets (general criteria):

- It is probable that the economic benefit flow to the company
- The cost can be determined in a reliable manner

Not allowed according to IFRS (examples):

- Self-propelled brands
- Customer addresses

R&D expenses are an example of intangible assets with additional criterial, specifically recognition criteria for development.

Expenditures during the **research phase** (i.e. to find new base knowledge) may not be disclosed as assets, they must be disclosed as expenses (i.e. they reduce the profit of the respective period), as IFRS assumes they do not meet the recognition criteria.

Expenditures during the **development phase** (i.e. to apply the knowledge) may be disclosed as intangible assets if they meet all of the following six additional recognition criteria (they help answering the two general recognition criteria of probable economic value inflow and its value determination):

1. Technical feasibility
2. The intention to develop the intangible asset further and use it internally or sell it
3. The ability to use the intangible asset internally or sell it
4. Demonstration of how the intangible asset will generate future economic benefits
5. The availability of adequate technical, financial and other resources to complete the development
6. Reliable attribution of costs incurred during development

Typically, it is rather difficult to meet all 6 additional recognition criteria.

Goodwill is a second example of an intangible asset with specific rules regarding disclosure, initial valuation and subsequent valuation.

Goodwill is recognized when a company is buying another company, i.e. when it buys a new daughter company, and the purchase price is higher than the book value of the net assets. Goodwill is the difference between the price and the value of the acquired net assets.

Initial valuation:

- Full goodwill method
- Partial goodwill method

Subsequent valuation:

- Impairment test

Initial valuation of goodwill: case of a mother companies buying 100% of a new daughter company – preparation

0 Initial situation: Parent Ltd. buys 100% of the subsidiary Ltd. and pays 130 in cash

1 In the first step, the assets of the subsidiary Ltd. are revalued
Possible revaluations thereby increase the assets and, correspondingly, equity

Parent Ltd.	
Current assets 100	Liabilities 200
Non-current assets 300	Equity 200

Subsidiary Ltd.	
Current assets 100	Liabilities 90
Non-current assets 50	Equity 60

Subsidiary Ltd. (revalued)	
Current assets 150	Liabilities 90
	Equity 110
Non-current assets 50	

Revaluation in current assets of the subsidiary Ltd.:
inventories and revaluation reserves 50

Initial valuation of goodwill: case of a mother companies buying 100% of a new daughter company – merger and goodwill

2 Calculation of the positions of the statement of financial position of the parent Ltd. (new)

a) Goodwill:
Subtract the acquired equity of subsidiary Ltd.
(revalued) from the purchase price

a) Purchase price	130
- equity of subsidiary Ltd. (revalued)	-110
= Goodwill	20

b) Liabilities:
Add liabilities of the parent Ltd. and sub. Ltd. (revalued)

b)
 $200 + 90 = 290$

c) Current assets:
Add CA of the parent Ltd. and sub. Ltd. (revalued)
and adjust using the purchase price

c)
 $100 + 150 - 130 = 120$

d) Non-current assets:
Add NCA of the parent Ltd. and sub. Ltd. (revalued),
and include goodwill as an intangible asset

d)
 $300 + 50 + 20 = 370$

e) Equity: residual value (must correspond to the original equity of the parent Ltd.)

Parent Ltd. (new)

Current assets	Liabilities
120	290
Non-current assets	
350	Equity
	200
Goodwill 20 (Part of NCA)	

In February 2019, Kraft-Heinz announced a significant impairment because of shifting consumer tastes.

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Kraft Heinz's Goodwill Charge Tops Consumer-Staples Record

Food maker's hit to goodwill comes as industry grapples with shifting consumer tastes



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Please note: The Wall Street Journal News Department was not involved in the creation of the content above.

By [Tatyana Shumsky](#)

Feb. 22, 2019 5:36 pm ET



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TEXT

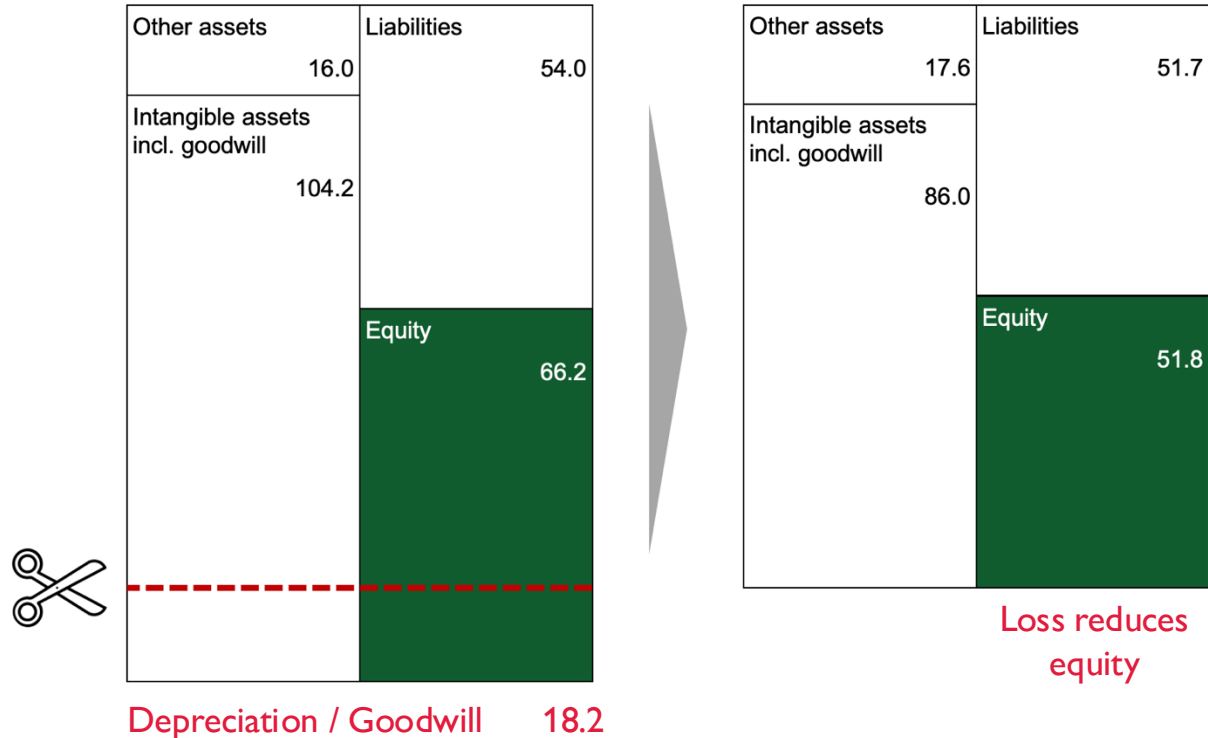
12

The \$7.3 billion goodwill impairment [Kraft Heinz](#) Co. announced this week is the largest such write-down in the U.S. consumer staples industry in at least a decade, according to valuation firm Duff & Phelps LLC.

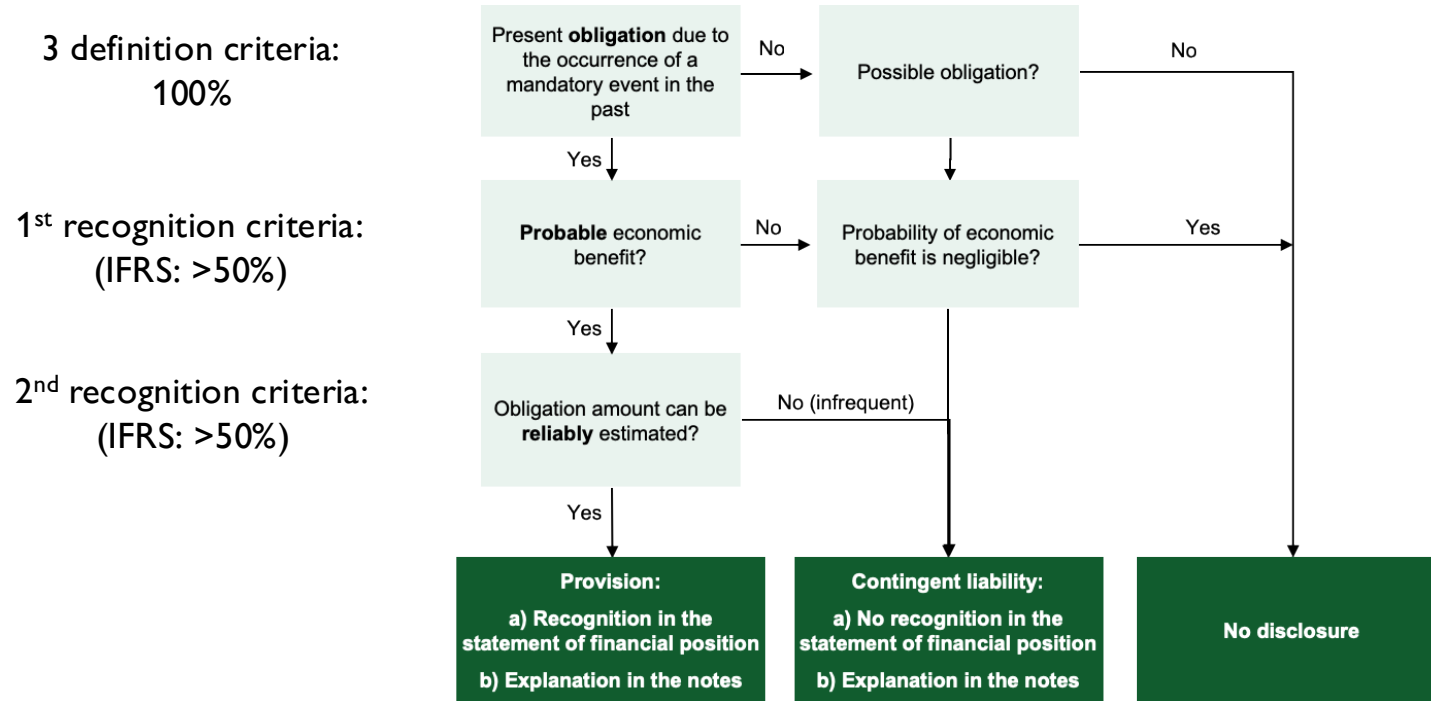
The size of the hit, [disclosed Thursday](#), is unusual for the sector, which recorded 88 such write-downs between 2013 and 2017 totaling \$9.6 billion, according to Duff & Phelps.

“This goodwill impairment alone is greater than that entire sector over the last three years,” said Carla Nunes, a managing director at Duff & Phelps.

The impairment test shows that 10% of the goodwill from previous mergers do not hold any value anymore (i.e. no future cash inflow).

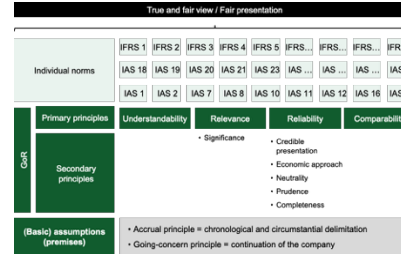


Provisions are liabilities where the recognition criteria are not 100% met, but more than 50%. For contingent liabilities it is below 50%.

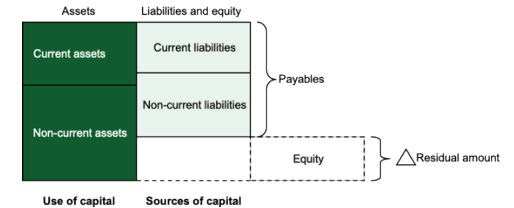


Summary lecture 2

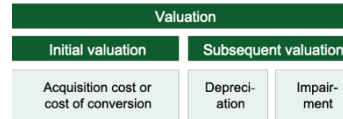
Principles of financial reporting



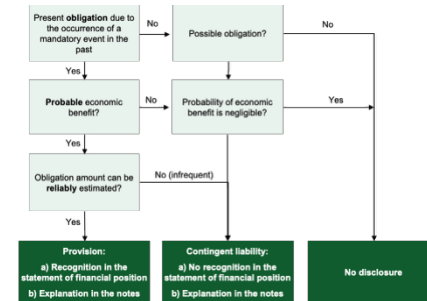
Structure of the statement of financial position



Initial and subsequent valuation



Selected asset and liability positions



For the exams

2	Case merger AllMyServices Ltd. The AllMyServices Ltd. discloses the following statement of financial positions as per 2013 (in million CHF): <table><tr><th colspan="2">Assets</th><th colspan="2">Liabilities & Equity</th></tr><tr><td>Current assets</td><td>45</td><td>Short-term liabilities</td><td>15</td></tr><tr><td></td><td></td><td>Long-term liabilities</td><td>15</td></tr><tr><td></td><td></td><td>Equity</td><td>30</td></tr><tr><td>Non-current assets</td><td>15</td><td></td><td></td></tr></table>	Assets		Liabilities & Equity		Current assets	45	Short-term liabilities	15			Long-term liabilities	15			Equity	30	Non-current assets	15			10
Assets		Liabilities & Equity																				
Current assets	45	Short-term liabilities	15																			
		Long-term liabilities	15																			
		Equity	30																			
Non-current assets	15																					
2.1	<i>Evaluating purchase of a company</i> AllMyServices Ltd. is planning to buy the CreativeApp Ltd., a start-up company that was founded three years ago and that has developed several apps, which integrate the different sensors of smartphones and tables (such as GPS, location, movement, pressure, etc.) creatively into the user experience. The AllMyServices Ltd. asks you, for which two positions of the statement of financial position a re-valuation of the assets of CreativeApp Ltd. should be considered. What is your suggestion for AllMyServices Ltd.? Explain your two suggestion in detail.	4																				

For the exams

2	Case merger AllMyServices Ltd.	10			
	The AllMyServices Ltd. discloses the following statement of financial positions as per 2013 (in thousands of CHF):				
	<table><tr><th>Assets</th></tr><tr><td>Current assets</td></tr><tr><td>Non-current assets</td></tr></table>	Assets	Current assets	Non-current assets	
Assets					
Current assets					
Non-current assets					
2.1	Evaluating purchases AllMyServices Ltd. acquires CreativeApp Ltd., a company that was famous for developing mobile apps, which integrate various services such as GPS, location, messaging, etc. The AllMyServices Ltd. should be considered as the acquirer. Explain your two suggestions for the valuation of CreativeApp Ltd. assets.	4			
	2.1 Positions with potential re-valuation of CreativeApp-assets • Recognition of development expenses (R&D): if it was not possible to recognize this position in the past, because technical knowhow is missing, financial means or markets are underdeveloped, AllMyServices Ltd. may be able to now confirm and grant them. • Recognition of brand: as AllMyServices Ltd. acquires the brands of CreativeApp Ltd., they are no longer self-created but purchased and therefore can be recognized as assets. • Receivables: maybe AllMyServices Ltd. has a higher professionalism for collecting receivables, i.e. the loss of receivables of CreativeApp Ltd. may be reduced • Inventory: maybe AllMyServices Ltd. can use the existing business network to sell off the CreativeApp inventory • Operational assets: maybe CreativeApp Ltd. can use some of the infrastructure of AllMyServices Ltd. and the respective assets of CreativeApp Ltd. may be sold at market values (which may be higher than the book values) Points: each correct position 1P, for detailed explanation 1P, max 2P for each positions, max 2 positions = 4 P				

For the exams

2.2	<i>Purchase of a company</i> AllMyServices Ltd. decides to buy 100% of CreativeApp Ltd. The purchase price is 20 million CHF, the equity of CreativeApp Ltd. is 1.5 million CHF, and the re-valuations are +4.5 million CHF for current assets and +1.5 million CHF for non-current assets. Which are the relevant booking entries for the re-valuations? Does AllMyServices Ltd. pay a goodwill, if so how much?	3
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For the exams

2.2	<i>Purchase of a company</i> AllMyServices Ltd. decides to buy 100% of CreativeApp Ltd. The purchase price is 20 million CHF, the equity of CreativeApp Ltd. is 1.5 million CHF,	3
2.2	Booking entry and goodwill Booking entries of new valuation CreativeApp Ltd: • Current assets / equity 4.5 million • Non-current assets / equity 1.5 million Goodwill: yes, 1.5 million equity + 6 million revaluation = 7.5 million value; compared to payment of 20 million = 12.5 million goodwill Points: for each booking entry 1 P, 1 P for calculation of goodwill	3

Fox goose corn riddle



A farmer bought a fox, a goose and corn on the market. To get home, he has to cross a river. His boat is small, so he can only carry one of them per trip

If the farmer is not present, the fox eats the goose and the goose eats the corn.